

Perhaps even worse than reducing the potential accumulation of earnings is the danger of being stuck with a loan balance if your employment terminates, whether it's because you've accepted a job elsewhere or you were fired or laid off. If you have an outstanding loan at the time your employment ends, you'll have to pay it back *immediately* to avoid having Uncle Sam slap you with taxes and a 10 percent penalty.

Let's say you borrowed \$12,000 and repaid \$2,000 before changing jobs. Your loan balance at termination is \$10,000. If you can't come up with the money to repay it right away, it will be considered a premature withdrawal. If you're in the 28 percent tax bracket, you'll have to pay \$2,800 in income taxes, plus another \$1,000 (10 percent) early withdrawal penalty. All of a sudden your low-interest loan doesn't look so good. On top of that, if you have no other way to come up with the money to pay the taxes and you have to take them from your 401(k) plan too, that money will also be subject to taxes and penalties. Either action could decimate the retirement fund that you've worked so hard to build.